3 **E23-15 (SCF—Indirect Method)** Presented below are data taken from the records of Alee Company.

	December 31, 2014	December 31, 2013
Cash	$ 15,000	$ 8,000
Current assets other than cash	85,000	60,000
Long-term investments	10,000	53,000
Plant assets	335,000	215,000
	$445,000	$336,000
Accumulated depreciation	$ 20,000	$ 40,000
Current liabilities	40,000	22,000
Bonds payable	75,000	–0–
Capital stock	254,000	254,000
Retained earnings	56,000	20,000
	$445,000	$336,000

Additional information:

1. Held-to-maturity securities carried at a cost of $43,000 on December 31, 2013, were sold in 2014 for $34,000. The loss (not extraordinary) was incorrectly charged directly to Retained Earnings.
2. Plant assets that cost $50,000 and were 80% depreciated were sold during 2014 for $8,000. The loss (not extraordinary) was incorrectly charged directly to Retained Earnings.
3. Net income as reported on the income statement for the year was $57,000.
4. Dividends paid amounted to $10,000.
5. Depreciation charged for the year was $20,000.

Instructions

Prepare a statement of cash flows for the year 2014 using the indirect method.

(Cash Provided by Operating, Investing, and Financing Activities) The balance sheet data of

...ows for the year 2014 using the indirect method.

2 4 5 **E23-16 (Cash Provided by Operating, Investing, and Financing Activities)** The balance sheet data of Brown Company at the end of 2014 and 2013 follow.

	2014	2013
Cash	$ 30,000	$ 35,000
Accounts receivable (net)	55,000	45,000
Inventory	65,000	45,000
Prepaid expenses	15,000	25,000
Equipment	90,000	75,000
Accumulated depreciation—equipment	(18,000)	(8,000)
Land	70,000	40,000
	$307,000	$257,000
Accounts payable	$ 65,000	$ 52,000
Accrued expenses	15,000	18,000
Notes payable—bank, long-term	–0–	23,000
Bonds payable	30,000	–0–
Common stock, $10 par	189,000	159,000
Retained earnings	8,000	5,000
	$307,000	$257,000

Land was acquired for $30,000 in exchange for common stock, par $30,000, during the year; all equipment purchased was for cash. Equipment costing $10,000 was sold for $3,000; book value of the equipment was $6,000. Cash dividends of $10,000 were declared and paid during the year.

Instructions

Compute net cash provided (used) by:

(a) Operating activities.
(b) Investing activities.
(c) Financing activities.